MOOLYANKAN 2026 · ROUND 2

ITC Limited

Equity Research



[Team name] · [Member names]

Valuation date: to be finalised after the model is completed

A differentiated investment case for ITC Limited

BASE-CASE FAIR VALUE PER SHARE

₹ ——

Pending valuation model

BUY | HOLD | SELL

Current market price
₹ — as of valuation date

Expected return over stated horizon
— % over [horizon]

THREE KEY REASONS

1. *Reason 1 — to be drawn from the completed model and valuation*
2. *Reason 2 — to be drawn from the completed model and valuation*
3. *Reason 3 — to be drawn from the completed model and valuation*

PRINCIPAL DOWNSIDE RISK *to be identified from the bear-case analysis*

BULL / BASE / BEAR VALUATION RANGE



SO WHAT Recommendation, price target and expected return stay blank until the financial model and valuation are complete.

ITC has diversified beyond cigarettes—but its businesses have different economic models

FY2026 STANDALONE GROSS REVENUE **₹80,867 crore**

FY2026 STANDALONE EBITDA **₹25,208 crore**

Standalone figures — not consolidated

FMCG — Cigarettes

Gold Flake, Classic, Wills Navy Cut and other cigarette brands

Drivers: *Volume, pricing, product mix, taxation, regulation*

FMCG — Others

Aashirvaad, Sunfeast, Bingo!, YiPPee!, Savlon, Classmate and more

Drivers: *Brand growth, market share, distribution, ad spend, margins*

Agri Business

Agri sourcing, processing, commodity trading, exports, value-added products

Drivers: *Commodity prices, procurement efficiency, crop supply, export demand*

Paperboards, Paper & Packaging

Paperboards, specialty papers, flexible packaging, cartons

Drivers: *Realisations, input costs, utilisation, demand*

Information Technology

ITC Infotech — technology services and solutions via a subsidiary

Drivers: *Enterprise client demand, service mix, delivery efficiency, tech spend*

ASSOCIATE

ITC Hotels Limited — Associate

Separately listed hotel company; ITC holds ~40% (verify at valuation cutoff)

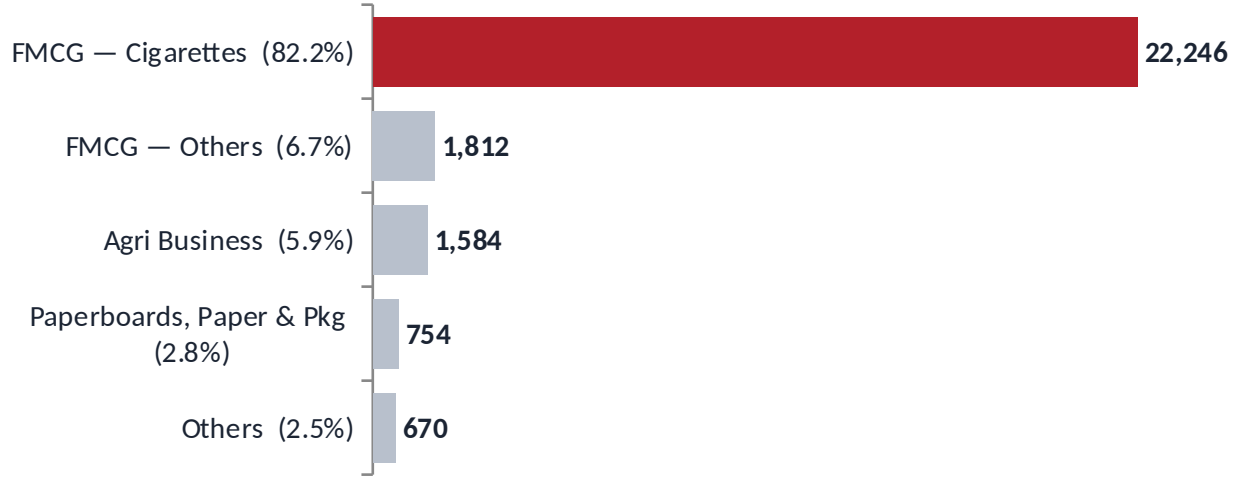
Drivers: *Occupancy, ARR, RevPAR, management fees, expansion economics*

SO WHAT ITC's portfolio spans consumer brands, agri sourcing, paper & packaging, technology and a separately held hotel stake — we must distinguish the business portfolio from the financial reporting segments.

Sources: ITC business portfolio (itcportal.com/itc-businesses.html); ITC FY2026 audited results (21 May 2026) and Q4 FY2026 results presentation; ITC Hotels FY2026 results. Reporting note: ITC's website lists Paperboards & Specialty Papers and Packaging separately; its reported financial segment is Paperboards, Paper & Packaging. The Hotels business was demerged into ITC Hotels Limited effective 1 January 2025.

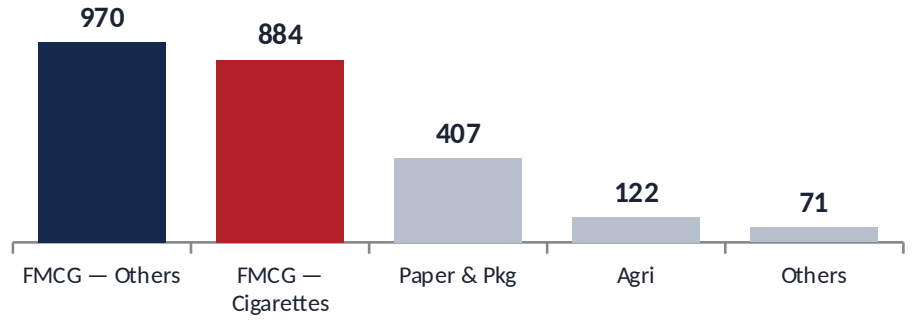
Cigarettes generated 82.2% of ITC's FY2026 consolidated segment results

FY2026 consolidated segment results (₹ crore) — total 27,066, +5.0% YoY



YoY: Cigarettes +5.5% · FMCG–Others +13.9% · Agri +2.9% · Paper & Pkg −14.6% · Others ≈ flat

FY2026 segment capex (₹ crore)



2,454	298	2,752
Segment capex (₹ crore)	Unallocated corporate (₹ crore)	Total consolidated (₹ crore)

TODAY'S PROFIT ENGINE

Cigarettes ≈ 82.2% of total reported segment results.

THE GROWTH CANDIDATE

FMCG–Others results +13.9% in FY2026 and the largest segment capex share (₹970 cr).

THE INVESTMENT QUESTION

Can newer consumer businesses turn growth and reinvestment into sustainably attractive incremental returns?

SO WHAT ITC has diversified its business portfolio more than its operating-profit base. The question is whether non-cigarette businesses can add profit without compromising capital efficiency.

Source: ITC audited consolidated results FY2026 (segment revenue, results, assets, liabilities); ITC Report & Accounts 2026 (capex) — itcportal.com. Chart rounded to nearest ₹ crore; shares may sum to 100.1% due to rounding. Segment results are not PAT, free cash flow or EVA — not net profit or ROCE.

PENDING INDUSTRY RESEARCH

Where does ITC possess a durable competitive advantage—and where is it vulnerable?

Cigarettes

Taxation, regulation, pricing, demand and illicit-market risk

FMCG

Branded packaged-goods growth, market share, advertising and competition

Paper & Packaging

Input costs, capacity utilisation, pricing and demand

Agri Business

Commodity volatility, sourcing and export demand

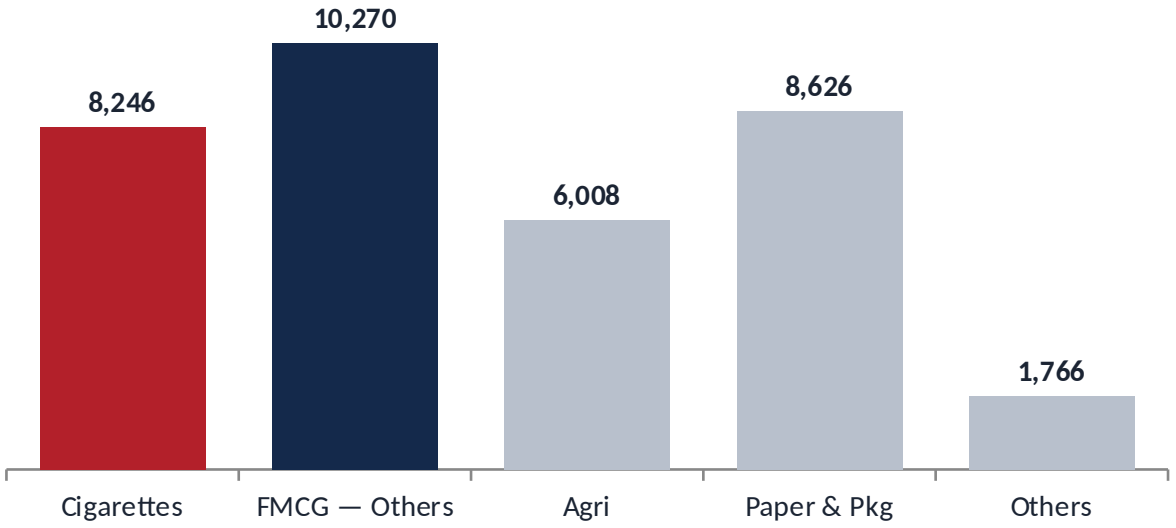
PEER COMPARISON — standardised reporting periods, margins and valuation dates

Business	Candidate peers	Reporting period	Margins	Valuation (date)
Cigarettes	Godfrey Phillips India, VST Industries (starting points)	*Pending*	*Pending*	*Pending*
FMCG	Selected branded FMCG companies	*Pending*	*Pending*	*Pending*
Paper & Packaging	Selected paper & packaging manufacturers	*Pending*	*Pending*	*Pending*
Agri Business	To be selected	*Pending*	*Pending*	*Pending*

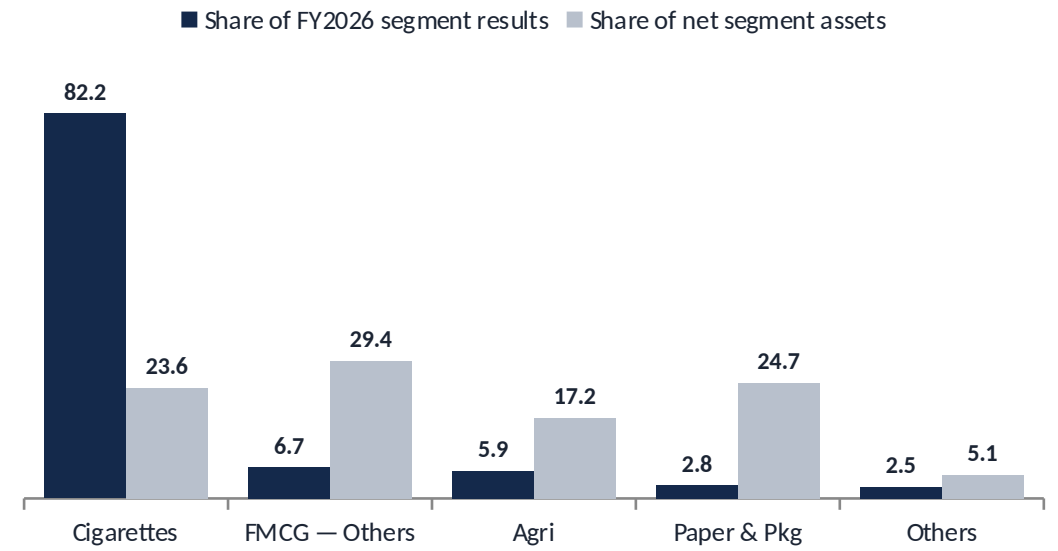
SO WHAT No unverified market shares or industry-size estimates will appear here — only sourced figures and like-for-like comparisons.

Profit contribution, capital invested and incremental returns tell different stories

Net segment assets, FY2026 year-end (₹ crore)



Share of segment results vs share of net segment assets (%)



Cigarettes is the dominant operating-profit contributor.

FMCG–Others has the largest net segment asset base and the largest segment capex allocation.

Paperboards, Paper & Packaging delivered lower segment results in FY2026 despite higher reported revenue.

SO WHAT The best business to reinvest in is not necessarily the one that generates the most profit — the decisive test is the return earned on additional capital.

Source: ITC FY2026 consolidated segment reporting; net segment assets = segment assets − segment liabilities (our calculation). Shares in the right chart are derived from the figures shown. Net segment assets are not invested capital, and segment results ÷ net assets is not segment ROCE. Five-year trends, cash flow and working capital to follow from the historical model.

FINAL THESIS PENDING MODEL

What is the market missing about ITC?

RESEARCH HYPOTHESIS — NOT YET OUR THESIS

Can FMCG–Others progressively increase its contribution to operating profits while cigarettes remains the dominant profit engine?

EVIDENCE SO FAR (FY2026, consolidated)

6.7%	FMCG–Others share of reported segment results
+13.9%	FMCG–Others segment results growth YoY
₹970 cr	FMCG–Others capex — largest of any segment

Market misconception

If supported by evidence

Pending forecasts and valuation

What underpins our view

Two or three financial / operational developments

Pending forecasts and valuation

Measurable catalysts

With expected timing

Pending forecasts and valuation

What would invalidate it

The evidence that proves us wrong

Pending forecasts and valuation

Evidence so far: ITC audited consolidated segment results FY2026 and ITC Report & Accounts 2026 (see slide 3). The hypothesis is a research question, not a conclusion.

OUTPUTS PENDING MODEL

What is ITC Limited worth after accounting for its operating businesses and investments?

LAYER 1

Operating businesses

Continuing businesses valued by DCF, relative valuation or another suitable method

+

LAYER 2

Separately valued investments

ITC Hotels stake (~40%) and other material non-operating investments not already included

→

LAYER 3

Equity-value reconciliation

Less debt, corporate costs and other adjustments; ownership interests; no double-counting

→

RESULT

Equity value per share

₹ ——

FINAL VALUATION OUTPUTS

—	—	—	—	—	—
DCF fair value / share	Relative-valuation cross-check	SOTP valuation	Market price on valuation date	Base-case upside / downside	Bull / Base / Bear fair values

ITC Hotels is valued as a separate listed associate: verified shareholding × market capitalisation on the valuation date, with ownership and transaction adjustments — not accounting carrying value, and not its full hotel revenue or profit.

All financial assumptions, WACC inputs, terminal-value assumptions, multiples, ownership percentages and adjustments will be documented in the Excel model.

OUTPUTS PENDING MODEL

What could make our thesis right—or wrong?

Metric	BULL Stronger growth, margin improvement or favourable valuation assumptions	BASE Most defensible assumptions supported by history and evidence	BEAR Lower growth, margin compression, adverse regulation, weak execution or multiple contraction
Fair value per share	*Model output*	*Model output*	*Model output*
Return from market price	*Model output*	*Model output*	*Model output*
Key assumptions	*To be stated explicitly*	*To be stated explicitly*	*To be stated explicitly*
Primary risks	*To be stated explicitly*	*To be stated explicitly*	*To be stated explicitly*

RECOMMENDATION — DERIVED FROM THE MODEL, NOT FITTED TO A STORY

Recommendation
Pending model

Margin of safety
Pending model

Investment horizon
Pending model

Thesis-invalidation trigger
Pending model

Scenario probabilities and the final recommendation will be derived from our valuation, margin of safety, investment horizon and primary thesis-invalidation trigger — never manufactured to fit a predetermined story.

Thank You

ITC Limited · Equity Research

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